

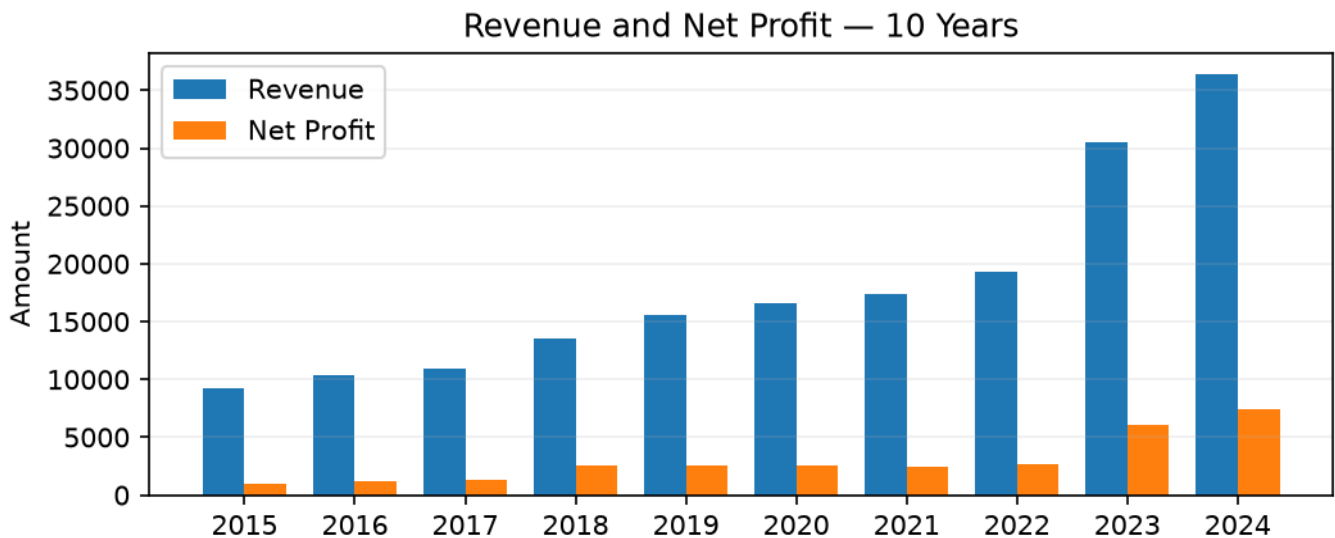
Shriram Finance Ltd

SHRIRAMFIN

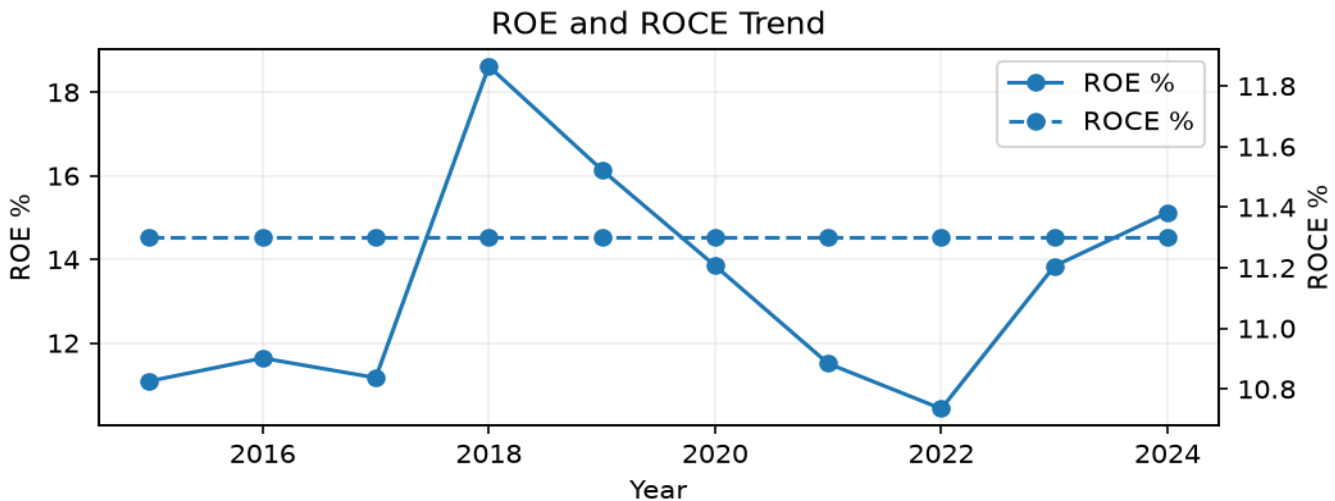
Sector: Financials

ROE 15.12%	ROCE 11.30%	Net Profit Margin 20.33%
D/E 3.99	Revenue CAGR 5Y 18.56%	FCF -31,359.00 Cr

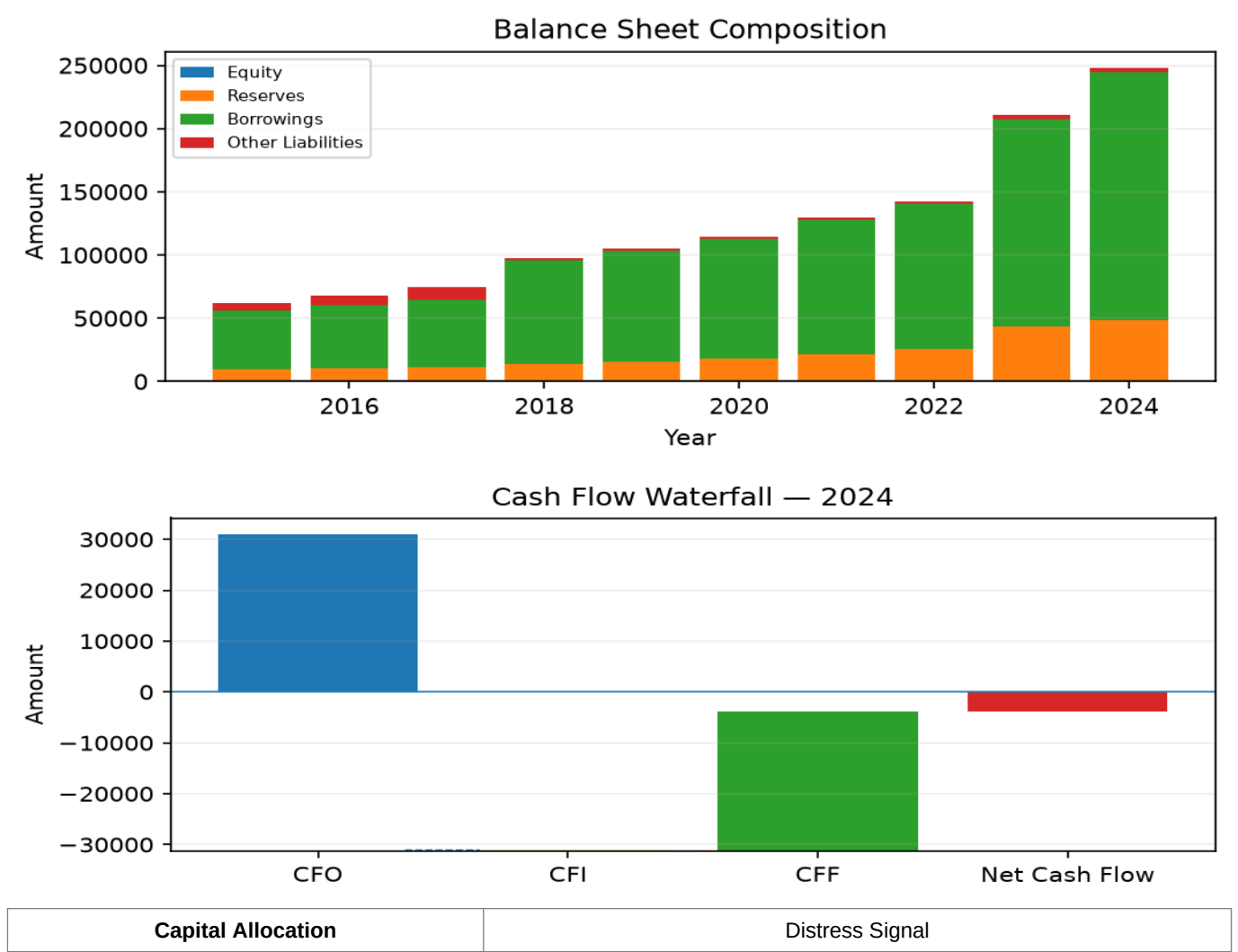
Revenue & Profit Trend



Return Trend



Financial Structure & Cash Flow



Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum (confidence 90%)
- Net profit compounding at above 20% over 5 years creates significant shareholder value (confidence 89%)
- Operating profit margin above 25% indicates strong pricing power and cost discipline (confidence 88%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (confidence 85%)

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (confidence 90%)
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations (confidence 90%)